

Smart Beta: Explanation, Strategy and Examples

 investopedia.com/terms/s/smart-beta.asp

What Is Smart Beta?

Smart beta investing combines the benefits of passive investing and the advantages of active investing strategies.

The goal of smart beta is to obtain alpha, lower risk or increase diversification at a cost lower than traditional active management and marginally higher than straight index investing. It seeks the best construction of an optimally diversified portfolio. In effect, smart beta is a combination of efficient-market hypothesis and value investing. The smart beta investment approach applies to popular asset classes, such as equities, fixed income, commodities and multi-asset classes. Economist Harry Markowitz first theorized smart Beta via his work on modern portfolio theory.

Smart Beta Explained

Smart beta defines a set of investment strategies that emphasize the use of alternative index construction rules to traditional market capitalization-based indices. Smart beta emphasizes capturing investment factors or market inefficiencies in a rules-based and transparent way. The increased popularity of smart beta is linked to a desire for portfolio risk management and diversification along factor dimensions, as well as seeking to enhance risk-adjusted returns above cap-weighted indices.

Smart beta strategies seek to passively follow indices, while also considering alternative weighting schemes such as volatility, liquidity, quality, value, size and momentum. That's because smart beta strategies are implemented like typical index strategies in that the index rules are set and transparent. These funds don't track standard indices, such as the S&P 500 or the Nasdaq 100 Index, but instead, focus on areas of the market that offer an opportunity for exploitation.

Key Takeaways

- Smart beta seeks to combine the benefits of passive investing and the advantages of active investing strategies.
- Smart beta uses alternative index construction rules to traditional market capitalization-based indices.
- Smart beta emphasizes capturing investment factors or market inefficiencies in a rules-based and transparent way.
- Smart beta strategies may use alternative weighting schemes such as volatility, liquidity, quality, value, size and momentum.
- In 2019, smart beta funds command \$880 billion in total cumulative assets.



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Selecting Smart Beta Strategies

There is no single approach to developing a smart beta investment strategy, as the goals for investors can be different based on their needs, though some managers are prescriptive in identifying smart beta ideas that are value-creating and economically intuitive. Equity smart beta seeks to address inefficiencies created by market-capitalization-weighted benchmarks. Funds may take a thematic approach to manage this risk by focusing on mispricing created by investors seeking short-term gains, for example.

Managers may also choose to create or follow an index that weights investments according to fundamentals, such as earnings or book value, rather than market capitalization.

Alternatively, managers may use a risk-weighted approach to smart beta that involves the establishment of an index based upon assumptions of future volatility. For instance, this may involve an analysis of historical performance and the correlation between an investment's risk relative to its return. The manager must evaluate how many assumptions they are willing to build into the index and can approach the index by assuming a combination of different correlations.

Smart Beta Popularity

Although smart beta funds typically attract higher fees than their vanilla counterparts, they continue to remain popular with investors. As of February 2019, 77 new smart-beta exchange-traded funds (ETFs) launched, which accounts for roughly a third of all ETFs that came to market in the past year, according to FactSet data as reported by ETF.com.

Smart beta funds also attracted a more significant increase in assets under management (AUM) over the period, growing at 10.9% compared to 4.3% for vanilla funds. In total, smart beta funds command \$880 billion in total cumulative assets, up from \$616 billion in 2016.

Example of Smart Beta Funds

The following three ETFs each use a different smart beta strategy seeking value, growth and dividend appreciation, respectively:

The **Vanguard Value Index Fund ETF Shares ETF** (VTV) tracks the CRSP US Large Cap Value Index. Its benchmark determines value using several fundamental ratios including price-to-book (P/B), forward price-to-earnings (forward P/E), historical P/E, dividend-to-price and price-to-sales. The fund has \$77.25 billion in AUM as of April 2019.

With net assets of \$42.73 billion as of April 2019, the **iShares Russell 1000 Growth ETF** (IWE) seeks to provide similar returns to the Russell 1000® Growth Index. The underlying selects components based on three fundamental factors: price-to-book, medium-term growth forecasts, and sales per share growth.

The **Vanguard Dividend Appreciation Index Fund ETF Shares** (VIG) aims to return similar investment results to the Nasdaq US Dividend Achievers Select Index. The fund selects firms that have increased their dividend payments for the past 10 years and market-cap-weights its holdings. As of April 2019, VIG has AUM of \$40.94 billion.